

Political economy



Adam Smith stressed the importance of the marketplace as an exchange of goods and services for mutual benefit.

As well as his influential work on the problem of empirical knowledge (see [Hume and causality](#)), David Hume took an interest in political philosophy, and in particular questions of trade in goods and services. He was one of a circle of intellectuals based in Edinburgh alongside Adam Smith, who shared many of Hume's ideas and developed them into a full-blown theory of political economy in *The Wealth of Nations* (1776). Smith's work marked

a shift away from moral philosophy towards the more scientific approach of modern economics. He explained that humans act out of self-interest, but in civil societies have to cooperate; we require goods and services, so we make bargains in order to exchange these for mutual benefit. Led by the 'invisible hand' of the market, the self-interest of individual traders also works to the benefit of society as a whole. Smith therefore advocated economic liberalism – that there should be minimal government interference in the working of a free market to allow these benefits to provide us with the freedom to enjoy our 'natural liberty'.